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DC Market Insights

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Home / Consulting / Data Center Policy and Investment Advisory

CONSULTING

Data Center Policy and Investment Advisory

Independent data center policy advice for governments: incentive benchmarking, grid and water impact, regulatory design and economic impact.



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Last updated 6 Oct 2026

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> Data center policy and investment advisory helps governments, investment promotion agencies, energy ministries and regulators decide how to attract data center investment on terms that work for the grid, the public budget and the local economy. DC Market Insights benchmarks incentives against competing locations, models the investment a market can realistically win, and tests what each policy option costs in power, water and tax.

Data centers have moved from a niche planning question to a national energy question. The International Energy Agency expects global data center electricity use to rise from 415 TWh in 2024 to around 945 TWh by 2030, and warns that around 20% of planned projects could be delayed by grid constraints. In Ireland, data centres used 22% of all metered electricity in 2024, up from 5% in 2015, according to the Central Statistics Office. In the United States, data centers used 4.4% of electricity in 2023 and could use 6.7% to 12% by 2028, according to a Lawrence Berkeley National Laboratory report published by the US Department of Energy.

Governments are responding in very different ways. Virginia's sales and use tax exemption saved the industry USD 928 million in FY2023, according to the state's Joint Legislative Audit and Review Commission. Singapore allocates capacity through competitive calls with strict efficiency and green energy terms. Ireland requires new data centres to bring their own generation or storage. Each approach has a cost, and each one sends investment somewhere else. Policy advice starts by putting numbers on those trade-offs.

DC Market Insights is the data center practice of Credence Research, a research and consulting firm founded in 2015 with 200+ analysts and consultants and 450+ consulting projects a year.

What is data center policy and investment advisory?

It is independent analysis that tells a public body what data center investment its location can attract, what that investment will cost the grid, water system and budget, and which policy design delivers the best balance. The work sits between investment promotion, energy planning and fiscal policy, and it gives each department the same set of numbers.

Most public bodies already hear two loud voices. Developers and operators argue for more incentives and faster connections. Grid operators and local residents warn about power, water and land. Both have a point, and neither has an incentive to model the other side's case. Our job is to put both sides into one model, with every assumption stated, so ministers and boards can make a decision they can explain.

The service covers five areas, and an engagement can use one of them or all five.

Area	The question it answers	Typical output
Incentive benchmarking	Are our incentives competitive, and are they worth what they cost?	Side-by-side scheme comparison and cost per MW attracted
Grid and water impact	What will data center growth do to our power system and water supply?	Demand scenarios in MW and TWh, water use ranges
Investment attraction strategy	Which investors and which segments should we target?	Target segment list, demand outlook, positioning
Regulatory design	Which rules on efficiency, reporting and connection should we adopt?	Policy options with likely market response

Area	The question it answers	Typical output
Economic impact assessment	What does the local economy gain, and what does it give up?	Jobs, GDP, tax and foregone revenue, by scenario

What does the service cover?

It covers the full chain from “should we compete for data centers?” to “which rule, incentive and connection policy should we adopt?”. Each part below ends in numbers a policy team can put into a cabinet paper or a board decision.

Incentive benchmarking: tax exemptions, sales tax and land

Incentive benchmarking compares your offer with the locations investors actually weigh against you, line by line. We look at sales and use tax exemptions on equipment, property tax abatements, corporate tax treatment, land offers, utility tariffs and connection terms, and the conditions attached to each, such as minimum investment and jobs.

The size of these incentives can be large. Virginia’s JLARC found that the state’s sales and use tax exemption for data centers was worth USD 928 million in tax savings to the industry in FY2023. A benchmark has to show what an incentive costs as well as what it wins, so we express each scheme in comparable terms: value per MW of IT load, value per job, and value as a share of total build cost.

We also test the conditions. An exemption with a high minimum investment threshold favours hyperscale campuses; a lower threshold opens the door to colocation and edge operators. Neither is right in general. The right design depends on which investors you want, which in turn depends on your grid and land.

Grid impacts: what data center growth means for the power system

Grid impact analysis turns a pipeline of data center enquiries into demand scenarios in MW and TWh, year by year, and sets them against what the network can deliver. In most markets this is now the deciding question. Ireland's energy regulator, the CRU, cites projections that data centre demand will grow from 22% of national electricity demand in 2024 to 31% by 2034 (CRU, December 2025).

We build three scenarios from the bottom up: projects connected, projects with signed agreements, and projects at enquiry stage, each with a realistic conversion rate and energisation date. We then compare total demand with planned generation and transmission, so a ministry or regulator can see when and where constraints are likely to bind. Virginia's JLARC, working from an independent forecast it commissioned, found that unconstrained demand for power in Virginia would double within ten years, with data centers as the main driver. The value of scenario work is that it shows how much of that demand depends on choices a government still controls.

Water impacts

Water analysis estimates how much water data center growth could use under different cooling designs, and where that use would fall. It matters most in regions with water stress or where data centers cluster near a single supply. JLARC found that current data center water use in Virginia is sustainable, with most facilities using about the same as or less than

an average large office building, but that a few use substantially more. That spread is exactly why a policy should be based on the cooling technology mix expected in your market, not on a single average.

We model water use by cooling type, climate and facility size, and show what conditions such as closed-loop cooling or reclaimed water would change.

Investment attraction strategy

Investment attraction strategy tells an agency which parts of the data center market it can realistically win, and how to position for them. A location with cheap renewable power but limited fiber may suit AI training campuses better than latency-sensitive colocation. A location close to a large metro with a tight grid may suit smaller, efficient enterprise and edge facilities.

We size demand by segment (hyperscale, colocation, edge and AI compute), identify which operators and investors are active in comparable markets, and set out what each segment needs: power in MW, land, fiber, water, skills and permitting time. The output is a target list and a positioning case an agency can take to investors, built on evidence rather than on a brochure.

Regulatory design: efficiency, reporting and connection rules

Regulatory design assesses which rules on energy efficiency, reporting, renewable sourcing and grid connection a government should adopt, and how investors are likely to respond. Three current examples show the range of choices.

European Union: reporting under the Energy Efficiency Directive. Article 12 of the recast Energy Efficiency Directive requires data centres to publish information on their energy performance and sustainability. The European Commission

adopted the reporting scheme in March 2024, with the first reports due by 15 September 2024 and annual reports by 15 May from 2025 (European Commission, 15 March 2024). On 21 September 2026 the Commission proposed a common rating scheme for data centres and launched a consultation on minimum performance standards, with a legislative proposal planned for the second quarter of 2027 (European Commission, energy performance of data centres).

Singapore: allocating capacity through a call for application. Rather than approving projects one by one, Singapore releases capacity in competitive rounds. The second Data Centre Call for Application, launched by the Economic Development Board and IMDA on 1 December 2025, makes at least 200 MW available. Applicants must reach a power usage effectiveness (PUE) of 1.25 or better at full IT load and power at least 50% of the facility through eligible green energy pathways (EDB, December 2025).

Ireland: connection policy tied to new generation. The CRU's December 2025 decision requires new data centres to provide generation or storage, on site or nearby, to match their maximum import demand, and to take part in the wholesale market. They must also meet at least 80% of annual demand with additional renewable electricity projects in Ireland, with a six-year glide path.

Each of these designs changes which investors come, how fast, and at what cost. We model the likely market response to each option for your location: how many MW it would attract, which segments it would favour, and what it would change in grid and fiscal terms.

Economic impact assessment

Economic impact assessment measures what data center investment adds to the local economy and what it costs, in the same units. Data centers employ relatively few people once they are running: JLARC notes that a typical 250,000 square foot facility may have around 50 full-time workers. Their wider impact comes from construction, supply chains, tax on

property and equipment, and the digital services they enable. JLARC estimates the industry contributes 74,000 jobs, USD 5.5 billion in labour income and USD 9.1 billion in GDP to Virginia's economy.

A credible assessment separates construction effects from operating effects, counts foregone tax as a cost, and includes the investment the grid will need. We report gross and net figures, so a finance ministry can see the true return on each incentive.

Who is this service for?

It is for any public body that has to decide how much data center investment it wants and on what terms. The scope changes with the client, but the evidence base is shared.

Investment promotion agencies

Agencies need to know which investors they can realistically win and what they must offer. We give them a demand outlook by segment, a benchmark of competing offers, and a positioning case grounded in what their location can actually deliver in power and land.

Energy ministries and regulators

Ministries and regulators need demand scenarios they can plan against, and an independent view of how connection rules will change the pipeline. We provide MW and TWh scenarios by year, the assumptions behind each, and the likely response of investors to each rule.

Regional and city governments

Regional governments compete with each other inside the same country, often for the same projects. They need to know whether their land, fiber and grid position supports a data center strategy at all, and which type of facility fits.

For a fuller view of how we work with the public sector, see our page on data center consulting for governments and investment agencies.

Why does data center policy need independent analysis now?

Because the scale of demand has outgrown the tools most governments used to plan for it, and the cost of a wrong call now falls on the grid and the budget for decades. Three facts show the shift.

Demand is rising faster than grids can be built

The IEA expects data center electricity use to more than double between 2024 and 2030. The LBNL report for the US Department of Energy projects US data center use of 325 to 580 TWh by 2028, against 176 TWh in 2023. The width of that range is the policy problem: a government planning for the low case and getting the high case faces shortages, while one planning for the high case and getting the low case may overbuild.

Indicator	Figure	Source
Global data center electricity, 2024	415 TWh	IEA

Indicator	Figure	Source
Global data center electricity, 2030 (projected)	around 945 TWh	IEA
US data center share of electricity, 2023	4.4% (176 TWh)	LBNL / US DOE
US data center share, 2028 (projected)	6.7% to 12% (325 to 580 TWh)	LBNL / US DOE
Ireland data centre share of metered electricity, 2024	22%	CSO
EU data centre share of electricity demand	close to 3%	European Commission
Northern Virginia share of global reported operational capacity	13%	Virginia JLARC

Concentration creates local pressure

National averages hide local strain. The European Commission estimates that data centres account for close to 3% of EU electricity demand, but in Ireland the share is already above a fifth. Northern Virginia holds 13% of all reported data center operational capacity worldwide, according to JLARC. Where investment clusters, grid, water and land pressures arrive years before national figures show a problem.

Policy design now decides where investment goes

Investors compare locations on power availability, connection terms and incentive value as much as on land and demand. A change in connection policy in one country moves projects to another. Governments that understand the market response before they act can shape where projects go; those that do not tend to learn from the pipeline after the fact.

How does a policy advisory engagement work?

Every engagement runs in five steps, and each step produces something your team can use before the next one starts.

1. **Scope the decision.** A call with the client team to agree the policy question, the locations to benchmark, the scenarios to model and the deadline. You receive a written scope and a quote.
2. **Build the evidence base.** Our analysts start from the relevant DC Market Insights models and add what the project needs: grid and utility data, published policy documents, incentive schemes in competing locations, planning records and your own data.
3. **Test with the market.** We speak to operators, developers, utilities, equipment suppliers and other market participants to test how investors are likely to respond to each option, and check important assumptions against at least one independent source.
4. **Model the options.** We build scenarios for each policy option in MW, TWh, water use, jobs, GDP and tax, with every assumption stated so your team can change it and see what moves.
5. **Present and stand behind it.** A findings session with officials, and with ministers, boards or parliamentary committees if needed. Follow-up questions are answered after delivery.

What you receive

Deliverable	Format	Used for
Early findings memo	Short PDF	Direction check before the full report
Policy options report	PDF with charts and maps	Cabinet papers, board decisions, consultations
Scenario model	Excel with open formulas	Your own planning and future updates
Incentive benchmark pack	Excel	Comparing schemes across locations
Findings session	Video call or on site	Questions from officials and decision-makers

DC Exclusive: what does our market model library add to policy work?

It gives a public body a tested view of demand that does not come from the companies asking for incentives. Our library holds 519 published market models covering the whole data center value chain, each with history from 2020, a 2025 base year and a forecast to 2035.

The library is organised in five layers, the same structure we use for all our research:

Layer	What it covers	Typical policy use
DC Core	Colocation, hyperscale, edge and modular facilities	Demand a location can realistically attract
Upstream	Power, cooling, construction and equipment	Grid load, water use and construction spend
Downstream	Cloud, AI compute, interconnection and hosting	Where demand comes from and how mobile it is
Ecosystem	DCIM, security, maintenance and finance	Local service jobs and supply chains
Extended	Adjacent markets in their data center form	Second-order economic effects

Models come in global, regional and country editions. Our Iberia Data Center Market report, for example, values that market at USD 11.53 billion in 2025, which gives a regional government in Spain or Portugal a starting point for its own share of demand. Our UK Data Center Thermal Management Market report shows London and Slough holding more than 65% of UK cooling spend, a clear sign of how concentrated investment can become.

Three proprietary datasets are in development and will feed future projects: a Capacity Tracker (live and pipeline MW by country, city and operator), a Colocation Price Index (USD per kW per month by market) and a Deal Tracker (M&A, funding, land and power deals).

How do we make sure the numbers hold up?

We build every demand figure two ways and only use it when the two agree. In policy work this matters more than anywhere, because the numbers end up in public documents and are challenged by all sides.

- **Bottom-up:** we count demand from the project level: connected capacity, signed agreements and enquiries, each with a conversion rate and an energisation date.
- **Top-down:** we work down from the wider market, such as cloud and AI compute growth, regional capacity and electricity use, and the share a location can take.
- **Reconcile:** where the two results differ, we find out why and fix the input that is wrong, rather than averaging the gap away.
- **Scenarios, always:** low, central and high cases for every option, each traced to the inputs that drive it.
- **Time frame:** history from 2020, a 2025 base year and a forecast to 2035, so officials can see how the market has moved before trusting where it is going.
- **Sources:** every figure is traced to a published policy document, a regulator or utility dataset, a filing, an interview or a stated assumption, and our editor checks that the trail is complete before delivery.

Who leads our policy advisory work?

A named senior consultant leads every engagement, and a separate editor checks every number before anything is delivered.

- **Priyanka Mor, Senior Consultant.** Priyanka leads cross-border commercial due diligence, market entry feasibility, TAM, SAM and SOM sizing and M&A screening engagements, and is our principal methodology reviewer. She has more than 15 years in market research and consulting. Market entry feasibility and demand sizing are the core of most policy questions: how much investment a location can win, and from which segments.
- **Satyabrat Rajawat, Senior Research Analyst, Strategic Advisory.** Satyabrat covers power, cooling and rack equipment, the upstream markets that decide how much power and water a data center uses. He works from trade data, filings and equipment teardowns, and has contributed to more than 40 syndicated market studies.
- **Deepti Agrawal, Senior Editor, Research.** Deepti is the final quality gate for our reports and consulting work. She checks models, growth rates and company profiles for internal consistency, and owns our house style.

Which questions should a government ask before offering data center incentives?

The most useful question is not “how do we attract data centers?” but “which data centers, where, and at what cost?”. Before any scheme is designed, we suggest a public body can answer these:

- **What can our grid deliver, and when?** If new capacity will not be available for years, an incentive today mostly rewards projects that would wait anyway.
- **Which segment fits our location?** Hyperscale, colocation, edge and AI compute have different needs for power, latency, land and water.

- **What do competing locations offer?** An incentive that is far above or far below the market sends the wrong signal.
- **What does the incentive cost per MW and per job?** Foregone tax should be counted in the same units as the benefits.
- **What conditions come with it?** Efficiency, renewable sourcing, water and reporting terms change both the cost of the project and who applies.
- **How will we know if it worked?** A scheme without a review point tends to outlive its purpose.

We help a client answer each of these with numbers, and set out the evidence behind each answer.

Which DC Market Insights research supports policy advisory?

Every engagement links back to the published reports for the markets involved, so officials can see our baseline before we tailor it. Useful starting points:

- Iberia Data Center Market, valued at USD 11.53 billion in 2025, for demand in Spain and Portugal
- UK Data Center Thermal Management Market, for cooling technology and its effect on power and water use
- OCP Rack Market, valued at USD 1.63 billion in 2025 and forecast to reach USD 13.34 billion by 2035, for the hyperscale equipment that drives rack density
- The full data center research library, organised in five layers

Related services: site selection and feasibility, market entry and power strategy, market sizing and forecasting and our full consulting overview.

Frequently asked questions

What does data center policy advisory cost?

Fees are quoted per engagement and depend on the number of locations benchmarked, the number of policy options modelled and the deadline; you receive a written quote after the scoping call.

Can you assess an incentive scheme we already have?

Yes. We can review an existing scheme against competing locations, estimate what it has cost and what it has attracted, and set out options to adjust it.

Can you model the grid impact of data center growth?

Yes. We build demand scenarios in MW and TWh by year from the project level up, and set them against planned generation and transmission. We work alongside grid operators and engineering advisers on network studies, and focus on demand, timing and investor response.

Which countries and regions do you cover?

Our published reports cover global, regional and country markets across the data center value chain, and our client base spans Europe (45%), the Americas (30%), Asia Pacific (13%) and the Middle East and Africa (12%).

Can our findings be published?

Yes, if you choose. Reports are written so that every figure is traced to its source, which makes them suitable for public consultation documents. Publication terms are agreed in the engagement letter.

How do we start?

Send us the policy question, the locations involved and your deadline through the form below. A senior consultant will reply within one business day to arrange a scoping call.

Sources

- International Energy Agency: Energy and AI, executive summary (2025)
- Central Statistics Office Ireland: Data Centres Metered Electricity Consumption 2024 (10 June 2025)
- US Department of Energy: DOE releases new report evaluating increase in electricity demand from data centers (LBNL) (20 December 2024)
- Virginia Joint Legislative Audit and Review Commission: Data Centers in Virginia (2024)
- Commission for Regulation of Utilities: CRU publishes its decision on new electricity connection policy for data centres (12 December 2025)
- European Commission: Commission adopts EU-wide scheme for rating sustainability of data centres (15 March 2024)
- European Commission: Energy performance of data centres (accessed October 2026)
- Singapore Economic Development Board: Launch of second Data Centre Call for Application (1 December 2025), with the full press release (PDF)

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DISCUSS YOUR PROJECT

A senior consultant will reply within one business day.

Share as much or as little as you like. Your details stay private and are used only to answer you.

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